CHAPTER C-04

FEATURES OF INSURANCE CONTRACTS

Chapter Introduction

In this chapter, we discuss the elements that govern the working and special features of an insurance contract.

Learning Outcomes

A. Legal Aspects of Insurance Contracts

B. Elements of a valid contract

C. Premium payment in advance

D. Solicitation

E. Enabling Provisions like Grace Period and Free-look

A. Insurance contracts – Legal aspects and special features.

The chapter also deals with the legal aspects and special features of an insurance contract.

1. The Insurance Contract

Insurance involves a contractual agreement in which the insurer agrees to provide financial protection against certain specified risks for a price or consideration known as the premium. The contractual agreement takes the form of an insurance policy.

2. Legal aspects of an insurance contract

This section looks at some features of an insurance contract and considers the legal principles that govern insurance contracts in general.

Important

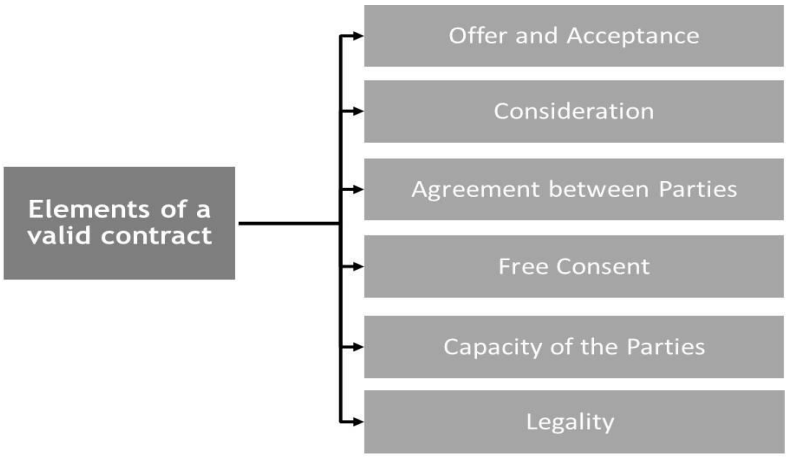
A contract is an agreement between parties, enforceable at law. The provisions of the Indian Contract Act, 1872 govern all contracts in India, including insurance contracts.

An insurance policy is a contract entered into between two parties, viz., the company, called the **insurer**, and the policy holder, called the **insured** and fulfils the requirements enshrined in the Indian Contract Act, 1872.

Diagram 1: Insurance contract

B. Elements of a valid contract

Diagram 2: Elements of a valid contract



The elements of a valid contract are:

1. Offer and acceptance

When one person signifies to another his willingness to do or to abstain from doing anything with a view to obtaining the assent of the other to such act, he is said to make an offer or proposal. Usually, the offer is made by the proposer, and acceptance made by the insurer.

When a person to whom the offer is made signifies his assent thereto, this is deemed to be an acceptance. Hence, when a proposal is accepted, it becomes a promise. The acceptance needs to be communicated to the proposer which results in the formation of a contract.

When a proposer accepts the terms of the insurance plan and signifies his/ her assent by paying the deposit amount, which, on acceptance of the proposal, gets converted to the first premium, the proposal becomes a policy. If any condition is put, it becomes a counter offer. The policy bond becomes the evidence of the contract.

2. Consideration

This means that the contract must contain some mutual benefit for the parties. The premium is the consideration from the insured, and the promise to indemnify, is the consideration from the insurers.

3. Agreement between the parties (Consensus Ad-Idem)

Both the parties, the insurer and the policyholder, should agree to the same thing in the same sense. In other words, there should be "**consensus ad-idem**" between both parties.

4. **Free consent**

   There should be free consent while entering into a contract. Consent is said to be free when it is not caused by

   - ✓ Coercion/ By Force
   - ✓ Undue influence
   - ✓ Fraud
   - ✓ Misrepresentation
   - ✓ Mistake

   When consent to an agreement is caused by coercion, fraud or misrepresentation, the agreement is voidable.

5. **Capacity of the parties**

   Both the parties to the contract must be legally competent to enter into the contract. The policyholder must be legally an adult at the time of signing the proposal and should be of sound mind and not disqualified under law. For example, minors cannot enter into insurance contracts.

6. **Legality**

   The object of the contract must be legal, for example, no insurance can be had for illegal acts. Every agreement of which the object or consideration is unlawful is void. The object of an insurance contract is a lawful object.

   Also one's entering into an insurance contract should be done out of one's free will, without any kind of force, fear or mistake.

C. Paying Premium in Advance

As per Indian laws, Insurers are not allowed to assume risk unless they receive the premium in advance. In other words, insurance protection cannot be sold on credit basis in India.

Section 64 VB of the Insurance Act 1938 states, "No risk to be assumed unless premium is received in advance". No insurer shall assume any risk unless and until the premium is received in advance or is guaranteed to be paid or a deposit is made in advance in the prescribed manner. This is an important feature of the insurance industry in India.

The Insurance Rules, 1939, provide certain exceptions to this condition of advance payment of premium, in respect of particular categories of insurances. Section 59 of the Insurance Rules allows accepting premiums in instalments in respect of Sickness Insurance, Group Personal Accident Insurance Medical Benefits Insurance and Hospitalisation Insurance Schemes, subject to certain conditions. Section 59 of the Insurance Rules allows relaxations for policies issued to Government and semi-Government bodies, Fidelity Guarantee Insurance policies covering Government and

semi-Government employees, Workmen's Compensation policies, Cash in Transit policies, and some other categories of insurances subject to certain conditions.

Solicitation

Insurance has always been regarded as something to be purchased after a proper understanding the product and not just bought/ sold. Hence, insurance is to be 'solicited' or asked for by the customer. Traditionally, insurers declare that "Insurance is the subject matter of solicitation". To elucidate, insurance is not a ready-made product like a packet of biscuits or a bar of chocolate to be bought/ sold outright. Customers have to discuss their insurance needs with a person qualified for the same and based on professional advice, the right insurance product is to be purchased. The Insurance product has to be understood and the offering most suited to the specific needs and requirements of the customer in terms of the policy coverage, exclusions, terms and conditions, is to be considered.

'Solicitation' is usually initiated when an insurer or an authorised intermediary approaches a prospect with a view to understand his/ her insurance needs and provides professional advice in selecting appropriate insurance products. The prospect solicits the proper solution and provides all requisite details to the advisor. As per regulations of IRDAI, **Insurance Agents** are appointed by an insurer for the purpose of engaging in the solicitation process and procuring insurance business, including business relating to the continuance, renewal or revival of policies of insurance. Only authorised employees of insurance companies, and specified persons of licensed intermediaries, who are trained and authorised for the purpose can be part of the process of solicitation and sales of insurance.

D. Enabling Provisions

1. Grace Period

Grace period is the specified period of time immediately following the premium due date during which a payment can be made to renew or continue a policy in force without loss of continuity benefits such as waiting periods and coverage of pre-existing diseases. Coverage is not available for the period for which no premium is received. The days of grace are computed from the next day after the due date fixed for payment of the premium.

For **Life insurance**, if there is no grace period, a single delay in payment can lead to a policy lapse. This would be detrimental for the policyholder, the insurer and the insurance industry in general. IRDAI Regulations allow a grace period of 15 days is applicable in case of Monthly mode of Premium collection and 30 days in other modes.

In respect of **Health insurance** also, certain number of days as grace period is allowed for renewal of individual health policies. This period depends on the policy of the company and the product offered. All continuity benefits are maintained if the policy is renewed within the grace period. However Claims, if any, during the break period will not be considered. As per IRDAI Regulations, the grace period is 15 days in case of Monthly mode of Premium collection and 30 days in other modes.

Motor Policies are usually valid for a period of one year and have to be renewed before the due date. Grace period for paying the premium do not apply. In case a comprehensive policy lapses for more than 90 days, the accrued No Claim Bonus (NCB) benefit would also be lost.

In the interest of smooth operation of affairs during the Covid-19 pandemic, IRDAI permitted the following relaxations:

i. In case of Life insurance policies, Insurers were asked to enhance the grace period by additional 30 days if desired by the policyholders.

ii. In case of Health insurance policies, Insurers were told to condone delays in renewal up to 30 days without deeming such condonation as a break in policy. Insurers were requested to contact the policyholders well in advance to avoid discontinuance in coverage.

iii. As regards Motor Vehicle Third Party Insurance policies that fell due for renewal and premiums could not be paid due to the Covid-19 situation, IRDAI allowed a grace period till 15th May, 2020.

2. Free-Look Period introduced by "IRDAI"

Insurance contracts are drafted by the insurer, and the other party has to adhere to it if he/ she wants the insurance. Such contracts where someone has to accept the contract as it is and cannot make any change to it are legally called Contracts of Adhesion. Because of this one-sided situation, the Courts always make insurers liable for any ambiguity or confusion that may arise in interpreting these terms and conditions.

To reduce this one-sidedness and make insurance transactions more customer friendly, IRDAI has built into its regulations a consumer-friendly provision called 'Free-Look Period' whereby, if the customer is not satisfied with any term and conditions of the policy, he/ she can return it and get a refund. This provision whereby policyholders are given the option of cancelling the policy within 15 days (30 days, in case of electronic policies and policies sourced through distance mode) after receiving the policy document, in case they are not satisfied with the policy, has been introduced for Life Insurance and Health Insurance policies (having a tenure of at least one year). The company has to be intimated in writing and the premium is refunded less, proportionate risk premium for the period of cover, expenses and charges.

Cancellation of Policies: When policies are cancelled by the insurer, the proportion of the premium corresponding to the expired period of insurance is charged/ retained by the insurer and the proportion corresponding to the unexpired period of insurance is returned to the insured, provided no claim has been paid under the policy. Such proportionate calculation of premium is called Pro-rata premium.

When annual policies are cancelled by the insured, insurers usually charge/ retain premiums at a higher rate and refund premiums at higher rates, instead of calculating pro-rata premiums. This would prevent anti-selection against the insurers and take care of the initial expenses of the insurer. Such rates are disclosed as part of the terms and conditions of the insurance contract and referred to as Short period scales.

Important

i. **Coercion** - Involves pressure applied through criminal means.

ii. **Undue influence** – using one's position to dominate the will of another person, to obtain an undue advantage over that person.

iii. **Fraud** – inducing another to act on a false belief that is caused by a representation one does not believe to be true. It can arise either from deliberate concealment of facts or through misrepresenting them.

iv. **Mistake** - Error in one's knowledge or belief or interpretation of a thing or event. This can lead to an error in understanding and agreement about the subject matter of the contract.

Test Yourself 1

Which among the following cannot be an element in a valid insurance contract?

I. Offer and Acceptance
II. Coercion
III. Consideration
IV. Legality

Summary

i. Insurance involves a contractual agreement in which the insurer agrees to provide financial protection against specified risks for a price or consideration known as the premium.
ii. A contract is an agreement between parties, enforceable at law.
iii. The elements of a valid contract include:
    - Offer and acceptance
    - Consideration,
    - Consensus ad-idem,
    - Free consent
    - Capacity of the parties and

- Legality of the object

Key Terms

1. Offer and Acceptance
2. Lawful consideration
3. Consensus ad idem

Test Yourself 2

During the Free-look period, if the policyholder, who has bought a policy through an Agent, disagrees to any of its terms and conditions, he/ she can return it and get a refund subject to the following conditions:

I. He/ she can exercise this option within 15 days of receiving the policy document
II. He/ she has to communicate to the company in writing
III. The premium refund will be adjusted for proportionate risk premium for the period on cover, expenses incurred by the insurer on medical examination and stamp duty charges
IV. All the above

Test Yourself 3

If the policyholder has bought a policy and does not want it, he/ she can return it during the _____ period, and get a refund.

I. Free evaluation
II. Free-look
III. Cancellation
IV. Free trial

Answers to Test Yourself

Answer 1 - The correct option is II.
Answer 2 - The correct option is IV.
Answer 3 - The correct option is II.